SUPERSTORE SALES

Business Insights Report

Data Analytics & Business Intelligence — Task 1 | Maincrafts Technology

Executive KPI Summary

$2,297,201	Total Sales	$286,397	Total Profit	5,009	Total Orders
$459	Avg Order Value	37,873	Units Sold	12.47%	Profit Margin

1. Sales Performance by Region

The dataset covers four US regions — West, East, Central, and South. The analysis below ranks them by total sales and profitability.

Region	Total Sales	Total Profit	Orders	Profit Margin
West	$725,457.76	$108,418.31	1611	14.94%
East	$678,781.30	$91,522.50	1401	13.48%
Central	$501,239.76	$39,706.24	1175	7.92%
South	$391,721.83	$46,749.49	822	11.93%

■ KEY INSIGHT — West region leads with $725,458 in total sales (31.6% of total) and the highest profit of $108,418. The East region is close behind at $678,781. Central and South regions underperform in profitability, with Central earning only a 7.9% margin. RECOMMENDATION: Increase marketing investment in West and East. Investigate Central's lower margin — likely driven by heavy discounting on Furniture products.

2. Profitability by Product Category

Category	Total Sales	Total Profit	Profit Margin
Technology	$836,154.02	$145,455.44	17.40%
Office Supplies	$719,046.90	$122,490.00	17.04%
Furniture	$741,999.73	$18,451.10	2.49%

■ KEY INSIGHT — Technology is the most profitable category ($145,455 profit, 17.4% margin), followed by Office Supplies ($122,490, 17.0% margin). CRITICAL FINDING: Furniture generates the highest revenue among the three categories but earns only a 2.49% profit margin — just $18,451 on $742,000 in sales. RECOMMENDATION: Review Furniture pricing and discount policies. Consider deprioritizing low-margin Furniture SKUs and expanding Technology product lines.

3. Monthly Sales Trend

Month	Total Sales	Total Profit
Jan	$94,924.87	$9,134.46
Feb	$59,751.26	$10,294.59
Mar	$205,005.48	$28,594.59
Apr	$137,762.13	$11,587.45
May	$155,028.82	$22,411.29
Jun	$152,718.64	$21,285.81
Jul	$147,238.07	$13,832.63
Aug	$159,043.98	$21,776.96
Sep	$307,649.90	$36,857.32
Oct	$200,322.97	$31,784.06
Nov	$352,461.03	$35,468.36
Dec	$325,293.50	$43,369.02

■ KEY INSIGHT — Nov is the highest-performing month with $352,461 in sales. Feb is the lowest-performing month at $59,751. A clear Q4 surge is visible, with November and December being peak months. RECOMMENDATION: Maximize inventory and promotional spend in Q4 (Oct-Dec). Consider targeted promotions in slow months (Jan-Mar) to smooth revenue flow.

4. Discount Impact on Profit

This analysis examines how discount rates correlate with average profit per transaction. High discount rates are expected to reduce profitability.

Discount Rate	Avg Profit/Order	# Transactions	Status
0%	$66.90	4798	✔ Profitable
10%	$96.06	94	✔ Profitable
15%	$27.29	52	✔ Profitable
20%	$24.70	3657	✔ Profitable

30%	$-45.68	227	✘ Loss-Making
40%	$-111.93	206	✘ Loss-Making
50%	$-310.70	66	✘ Loss-Making
60%	$-43.08	138	✘ Loss-Making
70%	$-95.87	418	✘ Loss-Making
80%	$-101.80	300	✘ Loss-Making

■ KEY FINDING — Discounts above 20% result in NEGATIVE average profit. Orders with 0% discount generate positive profit, while 30%+ discount orders become loss-making. This is a significant profitability leak. RECOMMENDATION: Cap discounts at 20%. Introduce discount approval workflows for orders exceeding the threshold. Particularly review Furniture discounting in Central region.

5. Top 10 Customers by Revenue

#	Customer Name	Total Sales	Total Profit	Orders
1	Sean Miller	$25,043.07	$-1,980.75	5
2	Tamara Chand	$19,052.22	$8,981.32	5
3	Raymond Buch	$15,117.35	$6,976.09	6
4	Tom Ashbrook	$14,595.62	$4,703.80	4
5	Adrian Barton	$14,473.56	$5,444.81	10
6	Ken Lonsdale	$14,175.22	$806.84	12
7	Sanjit Chand	$14,142.34	$5,757.42	9
8	Hunter Lopez	$12,873.30	$5,622.43	6
9	Sanjit Engle	$12,209.44	$2,650.67	11
10	Christopher Conant	$12,129.08	$2,177.05	5

■ KEY INSIGHT — Sean Miller is the highest-revenue customer at $25,043 but generates NEGATIVE profit (-$1,981), suggesting deeply discounted purchases. Tamara Chand is the most valuable customer (high sales + healthy profit of $8,981). RECOMMENDATION: Review pricing/discount agreements with Sean Miller. Invest in loyalty and retention programs for top profitable customers.

6. Strategic Recommendations for Management

Focus on Technology Products	Technology has the highest profit margin (17.4%). Prioritize expanding the Technology catalog and allocate more marketing budget toward tech products.

Revamp Furniture Strategy	Furniture earns only 2.49% margin despite high sales. Audit Furniture pricing, reduce excessive discounting, and consider discontinuing low-margin SKUs.
Cap Discounts at 20%	Discounts above 20% produce negative average profit. Implement a discount approval workflow. Every percentage point of unnecessary discount directly erodes the bottom line.
Double Down on West & East Regions	West ($108K profit) and East ($91K profit) are the strongest regions. Invest in regional sales teams, distribution, and targeted campaigns there.
Investigate Central Region Underperformance	Central region has $501K in sales but only 7.9% profit margin. Deep-dive into discount rates and product mix in this region.
Capitalise on Q4 Revenue Surge	November and December are peak months. Ensure adequate inventory build-up by September, and plan promotions for Q1 (Jan-Mar) to smooth revenue.
Customer Profitability Review	Highest-revenue customer Sean Miller generates negative profit. Conduct a customer profitability analysis and renegotiate terms where needed.